

Samsung Electronics

2Q26 headline results beat; focus on durability of earnings cycle beyond 2H26

Samsung Electronics (SEC) disclosed 2Q26 headline results above the recently revised-down consensus estimate after recognizing W15+trn worth of labor cost provisions covering the two quarters of 1H26. Given our bullish view on the near-term memory market S-D (i.e. CPU taking over LPDDR supply with demand upward revision and ongoing enterprise SSD order strength), we continue to see memory pricing in favor of suppliers and expect another leg of upward EPS revisions. The current share price (SEC shares are trading at 5.2x FTM P/E, the cheapest memory stock globally) appears to price in only a little of the structural S&D dynamic shifts (e.g., multi-year shortage, growing LTA mix, and other factors). We reiterate our bullish “longer for higher up-cycle” view on the memory industry and SEC shares, and recommend investors accumulate. The company is likely to disclose the full earnings details on July 30, Asia morning time.

- Record-breaking results and consensus beats, albeit on a labor cost provisions.** SEC’s 2Q26 headline OP of W89.4trn came in above recently lowered Street estimates of W75trn-84trn and headline consensus, likely thanks to better-than-expected memory price strength and Won depreciation. On memory pricing, we believe NAND blended ASP trends (above 70% Q/Q increase vs. JPMe +53% Q/Q) have been better than our expectations vs. DRAM being below our estimate of a high-50s% Q/Q increase due mainly to the product mix. We believe the overall volume sales must have been slightly better than the initial guidance if the company used some strategic inventory (more on DRAM than NAND). On the LSI/foundry side, 4nm HBM4 base-die production appears to have entered full-scale mass production supporting the top-line trends; however, we expect the overall division earnings to have widened the loss due, mainly to one-off labor cost provisions. As for the set business, it remains unclear if the MX division has turned into a loss-making one, but we believe y-y margin deterioration is accelerating with greater pressure from component price hikes.
- Diverging operational momentum continues, with memory ASP strength to lead to further EPS upgrades from 2H26 onwards.** We expect the memory-led earnings structure to continue in 2H26 (i.e. greater divergence between memory and non-memory businesses) and view the memory pricing forecast to be the most important variable that dictates the earnings outlook. As memory sufficiency remains extremely low (50-60% of procurement is only met via supply), the pricing environment is likely to remain favorable in 2H26. Yet, we are witnessing an increase in customer pushback due to substantial BOM cost pressure, and expect server-driven memory consumption trends to accelerate, implying lower volume allocation to consumer electronic customers. Between DRAM and NAND, we believe NAND pricing could surprise on the upside relative to investor expectations (20% +/- q-q increase) given U.S. hyperscalers’ appetite for sourcing eSSD for KV cache offloading purposes.
- Chip shortage broadening out to foundry? All eyes on Samsung Foundry’s new customer order win.** Following the tightening of capacity tightness at TSMC’s leading edge foundry/packaging capacity, Samsung Foundry seems

Overweight

005930.KS, 005930 KS

Price (07 Jul 26): W299,000

Price Target (Dec-26): W480,000

Technology - Semiconductors

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to be engaging with multiple new customers for AI chip projects; according to press release – [Google](#), [Anthropic](#), [Meta](#), [AMD](#), [BYD](#), and others; for potential order discussions. This is on top of its order win for Tesla AI5/AI6 chips ([note](#)) and the Apple CIS ([note](#)) partnership. Such customer order wins could help Samsung's foundry division's utilization rate move up to the full run rate with the need for additional capacity buildout at the U.S. Taylor fab, in our view. From the recent Korea AI mega-investment master plan announcement ([note](#)), there was little information about the foundry investment roadmap. After the labor cost settlement terms, we view the fixed cost pressure on the foundry/LSI division as greater vs. the past and believe new order wins are critical for a sustainable business turnaround.

- **Investors will focus on the durability of earnings and look forward to a long-term strategy update (incl. LTA progress).** Looking at SEC's FTM P/E trend in 1H26, it remained 3-6x (or 3.2x during 1Q26 and 4.8x during 2Q26) implying a peak-cycle multiple with high skepticism on the sustainability of earnings in the following year (i.e., SEC shares are still at an inflection point between de-rating and multiple normalization). Compared to 1H26, 2H26 price H-H momentum will likely be slower due to a higher base effect, and suppliers will initiate LTA discussions more actively with key customers (mainly CSP customers) amidst accelerating infrastructure investment. Provided there is an unprecedented shortage, we may see several different procurement initiatives from key customers (balancing the new server platform specs); however, none of these will be an alarm to the demand signal, and we view the memory side of the S-D equation as very healthy. We view investors as having underestimated the duration of the elongated up-cycle and remain constructive on SEC and memory stock fundamentals and risk-reward on a medium-term horizon on the recent pullback.
- **Potential next key catalysts:** (1) CSP commentary on AI service business model progress and consequent hardware capex spending update; (2) AI ecosystem funding progress update (esp. CSP and AI foundation model players' capex-related funding needs); (3) memory LTA progress update (key headlines such as percentage of coverage, volume vs. pricing guarantee, and ceiling/floor price as well as target margin); and (4) memory technology commentary update (KV cache offloading related memory tiering concept specifics update heading into agents-to-agents interaction vs. memory spending optimization initiatives from software stack level). For SEC specifically, we also note a 2024A-2026E shareholder return update (how much of the 2026E FCF is returned as a split between buyback and dividend; JPMe: over W110trn total shareholder return pool) and the following 2027-2029 shareholder return update (whether SEC connects the concept of sustainable earnings to LTA and business structure changes and if it provides a more progressive stance on the total amount and duration of return) to be critical elements to the 2H26 share price outlook.

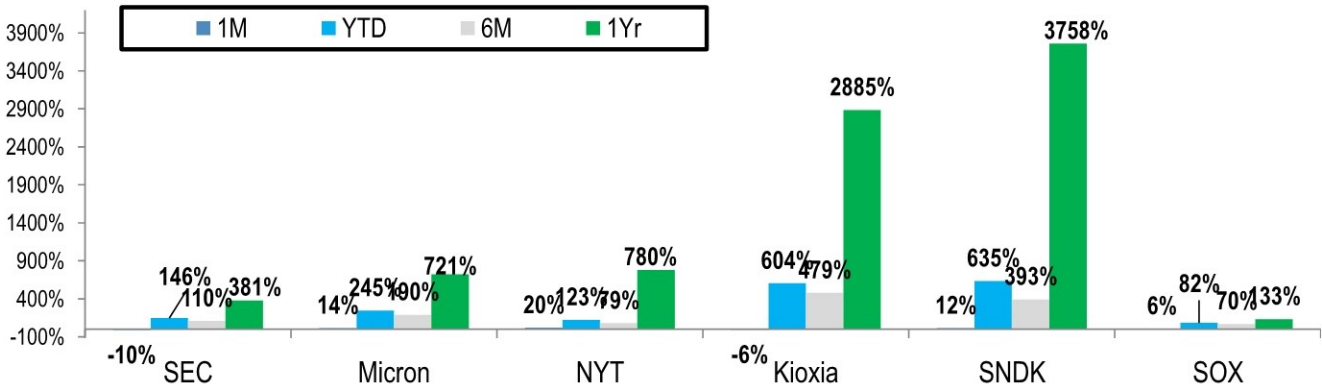
Table 1: 2Q26 preliminary earnings result comparison

Wbn, year-end December

	2Q26	1Q26	QoQ	2Q25	YoY	JPMe	vs. JPMe	BBG	vs. BBG
Revenue	171,000	133,873	28%	74,566	129%	171,931	-1%	176,053	-3%
EBIT	89,400	57,233	56%	4,676	1812%	91,458	-2%	85,932	4%
EBIT margin	52.3%	42.8%		6.3%		53.2%		48.8%	

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Bloomberg consensus as of 7 July 2026 (past 28 days).

Figure 1: Global memory makers' share price performance, including SOX (Philadelphia Semiconductor Index)



Source: Bloomberg Finance L.P. Note: Past performance is not an indication of future results.

Investment Thesis, Valuation and Risks

Samsung Electronics (*Overweight; Price Target: W480,000*)

Investment Thesis

We are OW on SEC given the profit growth cycle is reaccelerating due to improving legacy fundamentals. Although our view on SEC's HBM business execution remains conservative, given the lack of evidence of its regaining its technology moat (1cnm), we believe its improving HBM qualification progress tactically bodes well for its near- to mid-term share price trajectory amid a positive industry setup. In order for SEC's shares to be fundamentally even more appealing, we believe increasing evidence of its technology leadership is required to restore investor confidence.

Valuation

Our Dec-26 PT of W480K based on a mid-cycle P/E valuation: 8x FY26E-27E P/E (vs. 6x down-cycle and 10x up-cycle).

Risks to Rating and Price Target

Downside risks to our rating and price target include: (1) an elongated memory price downcycle; (2) weaker-than-expected HBM demand from ASIC customers in FY25-26E; (3) delayed HBM qualification for future product generations; and (4) slower-than-expected mobile unit growth.

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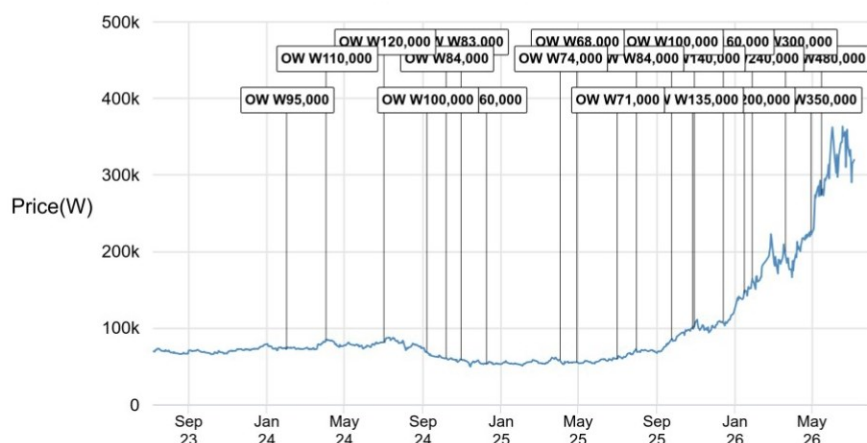
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Samsung Electronics (005930.KS, 005930 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 09, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
01-Feb-24	OW	72700	95,000
03-Apr-24	OW	85000	110,000
03-Jul-24	OW	81800	120,000
08-Sep-24	OW	68900	100,000
08-Oct-24	OW	61000	84,000
31-Oct-24	OW	59100	83,000
10-Dec-24	N	53400	60,000
03-Apr-25	OW	58800	74,000
30-Apr-25	OW	55800	68,000
02-Jul-25	OW	60200	71,000
01-Aug-25	OW	71400	84,000
25-Sep-25	OW	85400	100,000
27-Oct-25	OW	98900	135,000
30-Oct-25	OW	101700	140,000
14-Dec-25	OW	108500	160,000
16-Jan-26	OW	145000	200,000
29-Jan-26	OW	164300	240,000
22-Mar-26	OW	199800	300,000
30-Apr-26	OW	226500	350,000
17-May-26	OW	273500	480,000

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